

24 Sep 2026 04:48:10 ET | 21 pages

Meta Platforms Inc (META.O)

Meta Connect '26: Muse at the Center of Meta's AI Vision; Meta's Product Roadmap Accelerates

CITI'S TAKE

We emerge from Meta Connect incrementally positive on shares of Meta as its AI product strategy comes into view across Muse, its Models, and newer devices. Key here, Muse is emerging as the centerpiece of Meta's AI product strategy as voice, additional distribution points (Meta Glasses), and services / capabilities are integrated across shopping, travel, and productivity verticals, enabling Muse to connect consumer intent with execution potentially unlocking incremental monetization opportunities, in our view. Simply put, Muse is expanding use cases as downloads, adoption, & usage trends continue to significantly outperform expectations (see Figures 4 – 7). Meta's compute capacity remains a key focus as capacity ramps in 2027 with Meta (rightfully) prioritizing its O&O initiatives across its core FOA, Models, Muse, Business Agents, and Model API among others. Increased product visibility should lead to greater share returns & we reiterate our Buy rating and \$800 TP.

Muse: The Center Piece of Meta's Super Intelligence Ecosystem—With the goal of Muse being the center of a user's daily life as the personal super-intelligent agent helps users save time, money, and helps build products with eCommerce emerging as a core use case and we look for more Connect partners to join Muse;

Muse Usage Continues to Grow—Muse has reached ~3.1 million U.S. app downloads in its first 15 days, with DAUs approaching ~725K, and recent daily downloads exceeding Facebook, Instagram, WhatsApp, and Threads apps in the U.S. (see Figures 4-7);

Meta's AI Devices Expanding: 100+ AI Glasses Styles Expected by EOY '26—with form factors across multiple new glasses types that we believe could drive even greater category adoption into '27 as Muse is integrated across the glasses and newer capabilities launch (we note Meta's new Muse charm key-fob launching in December).

EPS (US\$)	Q1	Q2	Q3	Q4	FY	FC Cons	VA Cons
2025A	7.88A	8.81A	8.24A	10.94A	35.86A	23.49A	32.01A
2026E	9.48A	9.88A	9.19E	10.90E	39.45E	31.32E	34.03E
Previous	9.48A	9.88A	9.19E	10.90E	39.45E	na	na
2027E	na	na	na	na	48.80E	33.72E	37.96E
Previous	na	na	na	na	48.80E	na	na
2028E	na	na	na	na	59.77E	38.58E	44.84E
Previous	na	na	na	na	59.77E	na	na

Source: Company Reports and dataCentral, Citi Research. FC Cons: First Call Consensus. VA Cons: Visible Alpha Consensus.

Click [here](#) for Visible Alpha consensus data

Buy

Catalyst Watch: Upside, expires 15-DEC-26

Price (23 Sep 26 16:00) US\$744.10

Target price US\$800.00

Expected share price return 7.5%

Expected dividend yield 0.3%

Expected total return 7.8%

Market Cap US\$1,895,599M

Price Performance

(RIC: META.O, BB: META US)



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See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

Muse is the Centerpiece of Meta's Evolving (and Growing) Product Strategy

Perhaps our biggest takeaway from Connect was the vision for Muse to be at the center of a user's daily life as the personal super-intelligent agent. In so doing, META believes Muse can help improve relationships, save time and money, shop, and build products, among other use cases as Muse is now voice enabled and integrated across Meta's growing suite of products. And as adoption ramps (see Figures 4–7 below), we believe Meta is committed to allocating the compute needed to ensure adoption and continued usage.

We were impressed with the build-out of Muse's partner ecosystem through its Connect program. We highlight partnerships with Walmart and Shopify for eCommerce, Instacart for Grocery, Expedia for Travel, and Box and GitHub for productivity tools (see Figure 1 for a list of Muse's announced partners). This as Muse has integrations across payment providers **Stripe & PayPal**, and given 36% of U.S. shoppers discover new products through social media (per a July '26 eMarketer Survey), we view transactions as a core part of the Muse experience. And while Amazon has blocked Muse citing unauthorized AI agent access, we believe Amazon ultimately becomes a Connected partner.

Meta has received 1,500+ Connector Platform applications to date as 3P platforms integrate its APIs into Muse potentially unlocking a much broader range of services over time. And as more Connector partnerships launch, we believe Muse can be an increasingly larger part of a user's daily life (see Figures 2–3 for examples of Muse use cases).

On Monetization, while it remains early days and the focus is on usage and adoption, given Muse's ability to transact, we believe its ability to deliver high intent, ready to transact users can result in a take-rate model of the transaction over time. This as we believe Subscriptions and Advertising (via the Feed) are likely as well.

Newer Muse use cases include computer use on Mac, a dedicated Muse email address, personalized real-time voice capability to place outbound calls to U.S. businesses (while testing a "human concierge" service), and soon expanding to AI glasses. Point being, as Muse becomes a more capable agent, we believe adoption can ramp further towards Meta's goal of scaling to billions of users in the coming years.

Figure 1. Muse Partnerships Span Payments, Shopping, Travel, Productivity, Among Others

PARTNERSHIPS

Shopping	Launch Date	Sector	Details
Walmart	9/23/2026	Shopping	Enables product discovery and shopping across Walmart products.
Shopify	9/22/2026	Shopping	Shop Pay integrated directly into Muse, enabling agentic checkout across Shopify merchants.
Instacart	9/22/2026	Grocery	Users can create grocery orders from prompts and generate ready-to-checkout carts.
Gap	9/23/2026	Shopping	Enables product discovery and shopping across Gap's assortment.
Best Buy	9/23/2026	Shopping	Enables consumer-electronics discovery and shopping.
Dick's Sporting Goods	9/23/2026	Shopping	Enables product discovery and shopping across sporting-goods merchandise.
Fanatics	9/23/2026	Shopping	Enables discovery and shopping for licensed sports merchandise.
Sephora	9/23/2026	Shopping	Adds personalized beauty-product discovery and shopping.
Ulta Beauty	9/23/2026	Shopping	Enables personalized beauty discovery and product shopping.
Wayfair	9/23/2026	Shopping	Enables furniture and home-goods discovery and shopping.
American Eagle	9/23/2026	Shopping	Enables product discovery and shopping across American Eagle's assortment.
Michael Kors	9/23/2026	Shopping	Enables product discovery and shopping across Michael Kors' assortment.
Payments	Launch Date	Sector	Details
Paypal	9/22/2026	Payments	Checkout support across PayPal's merchant network worldwide.
Stripe	9/19/2026	Payments	Muse uses Stripe Link for checkout and can generate virtual cards for purchases.
Travel	Launch Date	Sector	Details
Expedia	9/23/2026	Travel	Enables users to search, compare, and book hotels within Muse.
Vrbo	9/23/2026	Travel	Enables vacation-rental discovery and booking through Muse.
Turo	9/23/2026	Travel	Enables users to discover and book peer-to-peer vehicle rentals.
Fever	9/23/2026	Travel	Enables discovery and booking of local events and experiences.
Productivity	Launch Date	Sector	Details
Google	9/8/2026	Productivity	Provides Gmail, Google Calendar, and Google Docs access for user-authorized automation.
GitHub	9/23/2026	Productivity	Connects Muse with code repositories and software-development workflows.
Notion	9/23/2026	Productivity	Allows Muse to access and act on user-authorized Notion content.
Box	9/23/2026	Productivity	Allows Muse to access and work with user-authorized files stored in Box.
Granola	9/23/2026	Productivity	Gives Muse access to user-authorized meeting notes and workplace context.
Misc.	Launch Date	Sector	Details
Ticketmaster	9/8/2026	Live Events	Users can discover concerts, sports, and live events and view real-time seating and pricing.
OpenTable	9/8/2026	Reservations	Restaurant discovery and reservation connector.
Spotify	9/8/2026	Media	Music discovery and playback integration.
Peloton	9/8/2026	Fitness	Connected fitness integration.
Granola	9/23/2026	Productivity	Gives Muse access to user-authorized meeting notes and workplace context.

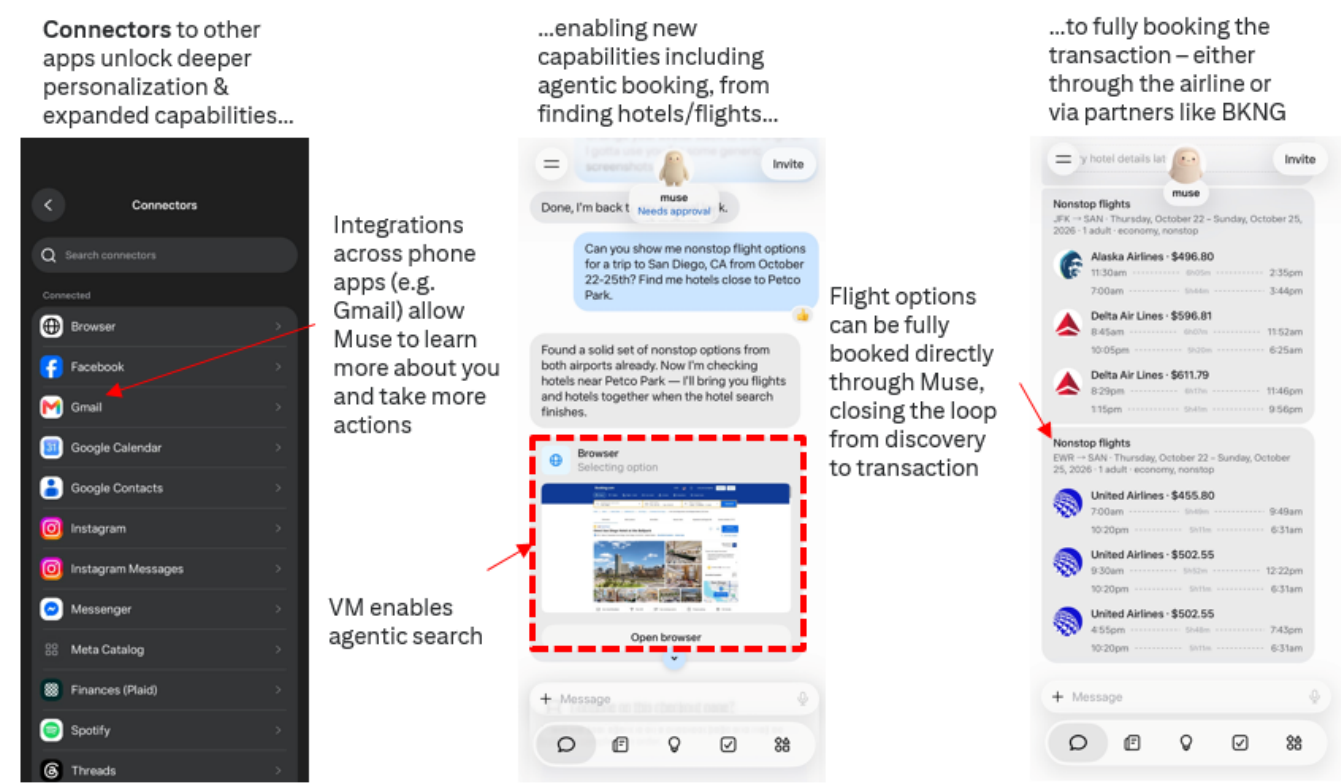
BLOCKED PLATFORMS

Company	Date	Sector	Details
Amazon	9/21/2026	Shopping	Blocked Muse shopping activity, citing unauthorized AI-agent access and merchant-control concerns.
Insurify	9/23/2026	Payments	Blocked Muse, citing quote-context, disclosure, and carrier-attribution concerns.

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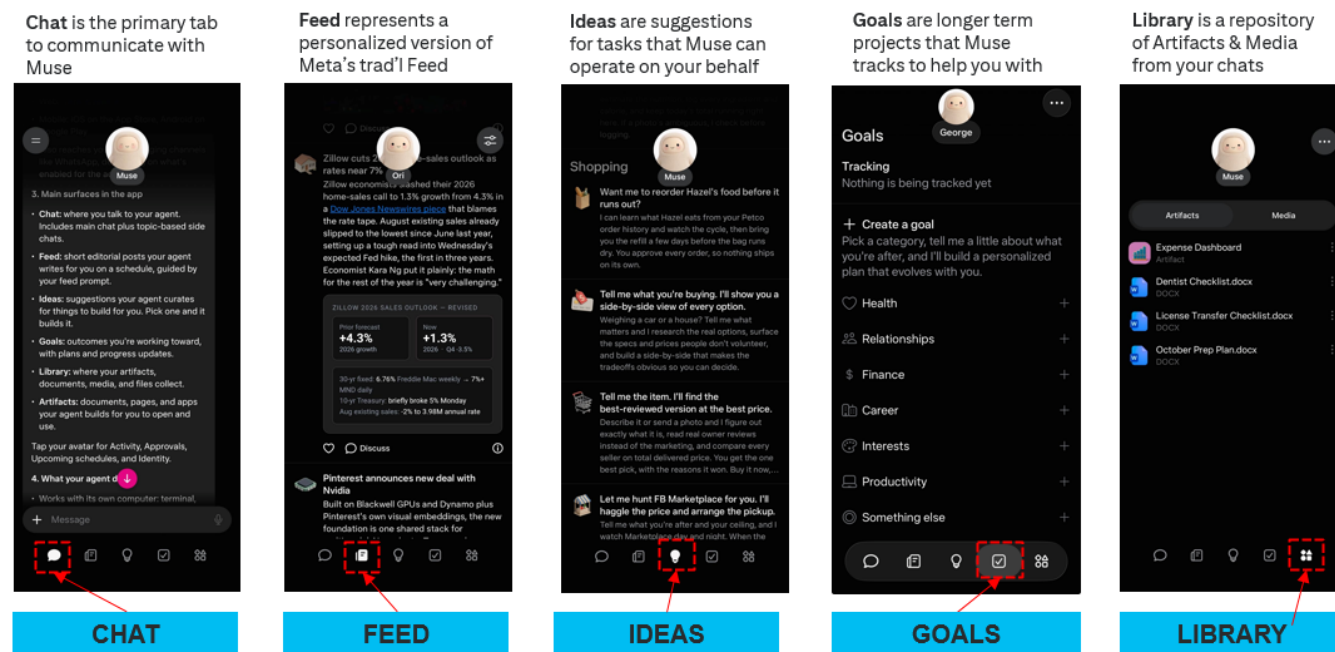
Source: Citi Research, Company Reports

Figure 2. The Muse Experience: End-to-End Booking of a Flight by Talking to Muse



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Source: Citi Research, Company Reports

Figure 3. Muse's 5 Tabs Unlock Personalized & Agentic Assistance for Short-Term Tasks & Long-Term Goals



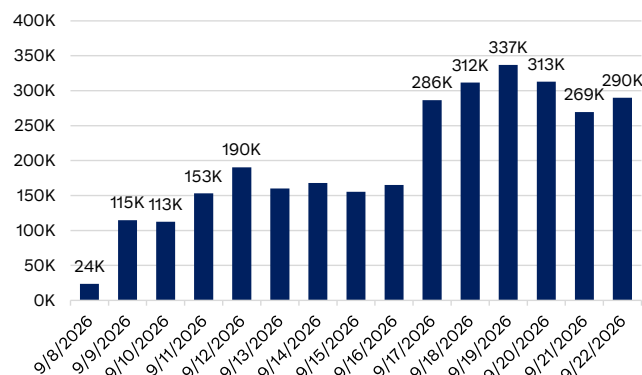
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Source: Citi Research, Company Reports

Muse Downloads, Adoption, and Usage Continue to Ramp

Simply put, Muse adoption appears to be outpacing past AI launches, per Sensor Tower. In its first 15 days, Muse has reached ~3.1 million U.S. app downloads, with DAUs approaching ~725K and recent daily downloads have exceeded Facebook, Instagram, WhatsApp, and Threads in the U.S. (see Figures 4-7).

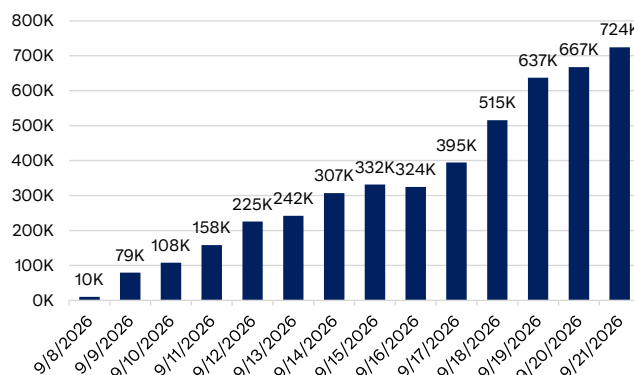
These results suggest Muse's launch trajectory is ahead of ChatGPT, Gemini, and Meta AI when each of those launched suggesting demand and strong product market fit despite Muse's initial U.S.-only launch (though now expanded to Canada with availability coming soon to more countries).

Figure 4. Muse at ~3.1M App Downloads in 15 Days...



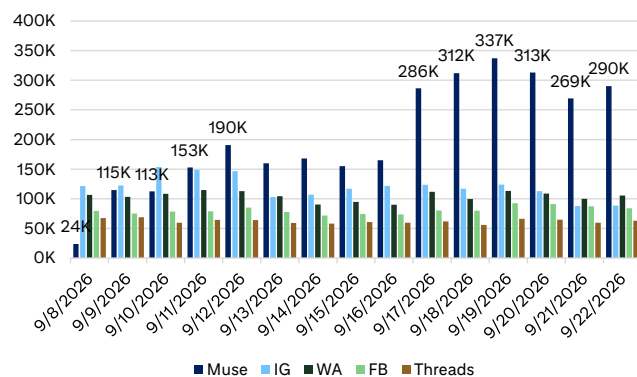
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Source: Citi Research, Sensor Tower

Figure 5. ...with DAUs Nearing ~725K in 2 Weeks



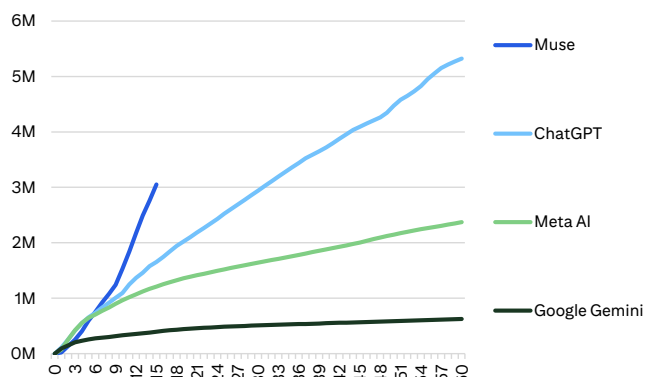
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Source: Citi Research, Sensor Tower

Figure 6. Muse U.S. Downloads Surpassing Meta's Individual U.S. FoA Downloads Over the Last 12 Days



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Source: Citi Research, Sensor Tower

Figure 7. Muse U.S. Downloads Post Launch Outpacing Launches from ChatGPT, Gemini, and Meta



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Source: Citi Research, Sensor Tower

New Glasses & AI Device Form Factors Emerging

Meta expects to offer 100+ AI glasses styles by EOY '26 with new glasses types / form factors that could drive greater category adoption into '27, particularly as Muse is integrated across the glasses (and its announced Muse charm key-fob launching in December).

Specifically, Meta launched its **Ray-Ban Meta Gen 3** glasses with a slimmer design & longer battery life, expanded the Meta Glasses lineup to 51 style combinations, broadened availability of **Meta Ray-Ban Display** (now able to be ordered online and in Europe), and launched **Ray-Ban Meta Audio**, its first camera-free glasses.

On VR, while Meta's Reality Labs has refocused on AI Glasses (and away from VR), Meta introduced its ~100-gram **Meta VR Glasses** (5x lighter than Quest 3) with Muse integrated directly into the OS, positioning the new wearables as a private cinema, computer, and gaming platform. We were impressed by our testing of the

sports and entertainment experiences in the glasses, and note the form factor is likely comfortable enough to drive greater VR adoption (price point: \$1,299) when it ships in spring 2027.

Muse Spark Model Roadmap Advancing Towards Watermelon

While Meta did not launch its SOTA Watermelon model (yet), the model is being optimized for personal-agent workflows (memory & continuity), multi-app and cross-site agentic tasks, real-time voice, and is expected to power Muse when launched.

This as we are encouraged that Meta's model cadence has accelerated from ~13 weeks between Muse Spark 1.0 and 1.1 to ~4 weeks between 1.1, 1.2, and 1.3, with the latest release improving long-horizon task completion, multitasking, instruction following, coding efficiency, and safety (see Figure 8). Importantly, Meta is integrating these newer capabilities across Muse, Meta AI, glasses, Business Agents, Muse Code, and its Model API.

Figure 8. Meta's AI Product Announcements & Launches Accelerating, April '26 – Sept. '26

Date	Category	Announcement	Notes
MUSE / AI			
April 8, 2026	Model	Muse Spark 1.0	Marking the 1st Meta e Labs model, initially powering Meta AI, with broader app, glasses and API distribution planned.
May 12, 2026	Personal AI	Muse Spark Expansion	Added conversational voice, live vision, AI shopping and rollout to Ray-Ban Meta and Oakley Meta glasses.
July 7, 2026	Model	Muse Image & Glasses Privacy	Launched Muse Image and detailed capture-LED safety controls for Meta AI glasses.
July 9, 2026	Model	Muse Spark 1.1 & Model API	Launched an agentic multimodal model, a one-million-token context window and the Meta Model API public preview.
July 24, 2026	Personal AI	Agentic Meta AI	Added planning, research, slides, app connections, recurring tasks, briefings and background execution.
August 5, 2026	Model	Muse Spark 1.2 & Muse Code	Launched a coding-focused model (that now supports Muse) and terminal agent with persistent subagents and restart-safe execution.
August 10, 2026	Model	Muse Glimmer	Open-sourced a 30B agentic model optimized for always-on local workflows on consumer hardware.
August 20, 2026	Model	Spark 1.2 Multimodal Update	Detailed visual coding, chart reasoning, audio-video understanding and robotics capabilities.
September 1, 2026	Model	Muse Voice Transcribe	Introduced a real-time multilingual speech model with streaming ASR, endpointing and multi-speaker diarization.
September 2, 2026	Model	Muse Spark 1.3	Improved long-horizon agents, multitasking, coding efficiency, instruction following and safety in Muse Code and Model API.
September 8, 2026	Personal Agent	Muse & Secure VM	Launched Meta's personal agent with persistent work, browser actions, secure cloud computers and approval controls.
TBD	Model	Watermelon	Next-gen pretraining model following Avocado / Muse Spark 1.3; expected to improve coding, multimodal and agentic capabilities.

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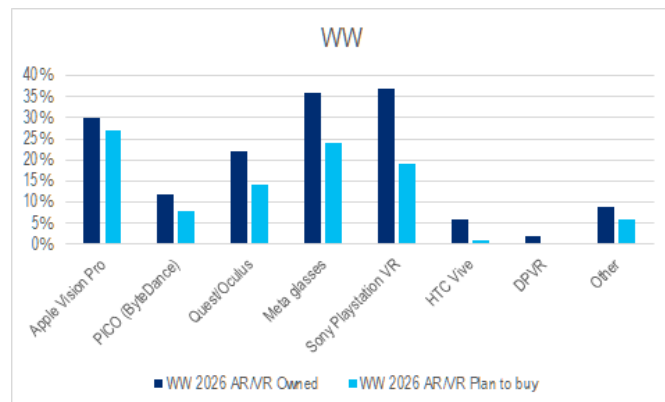
Source: Citi Research, Company Reports

Citi Consumer Electronics Survey Highlights Meta Glasses Demand

Our Consumer survey (conducted ahead of the back-to-school season) suggests continued Meta Glasses adoption. Of the 4,000+ global consumers surveyed, 22% of respondents owned an AR/VR/Smart Glasses device in their homes (877 respondents), and 36% of those owners had Meta Glasses (316 respondents). Looking ahead, of the 21.5% of survey respondents who plan to buy an

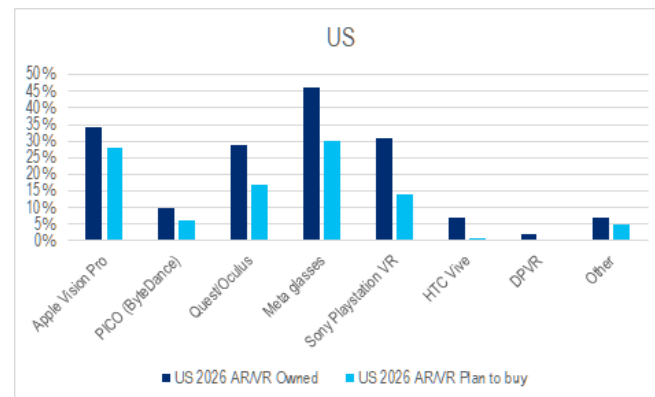
AR/VR/Smart Glasses device over the next 12 months (860 respondents), 24% of those respondents plan to purchase Meta Glasses (206 respondents). See our [Global Consumer Electronics survey](#) for additional insights.

Figure 9. WW AR/VR Headsets Owned & Plan to Buy



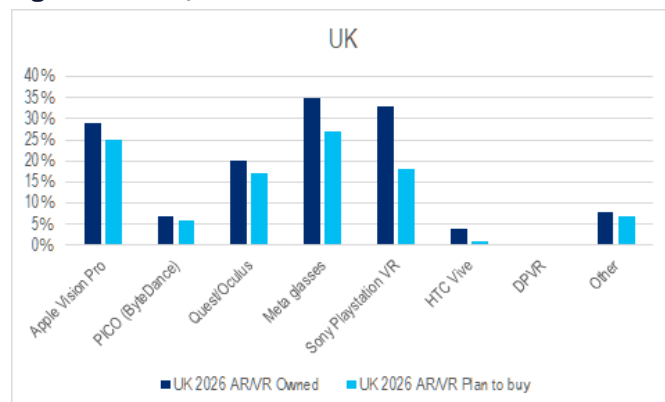
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Source: Citi Research

Figure 10. US AR/VR Headsets Owned & Plan to Buy



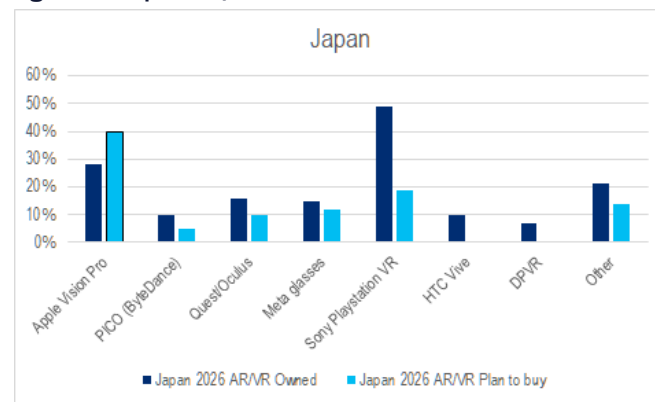
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Figure 11. UK AR/VR Headsets



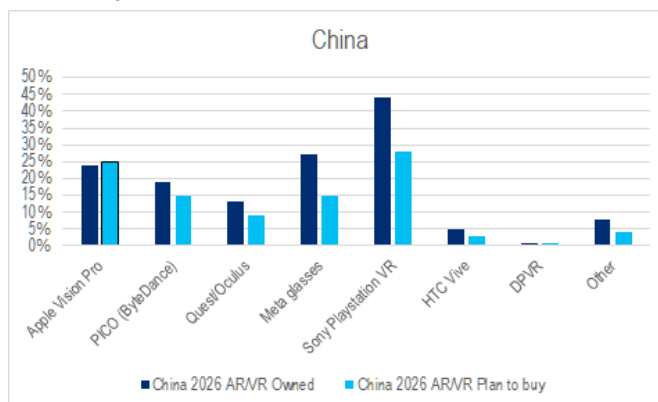
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Figure 12. Japan AR/VR Headsets



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Figure 13. China AR/VR Headsets



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Source: Citi Research

At \$744/share, shares of META currently trade at ~20x our '27E GAAP EPS of \$36.92. Our \$800 target price is based on ~22x our 2027E GAAP EPS of \$36.92 and implies ~11x our 2027E EV/EBITDA. We justify our valuation methodology based on Meta's user scale, growing engagement, product supercycle and AI opportunity, ads innovation, and revenue growth, and we're watching investments and overall profitability.

Figure 14. META Income Statement, \$ in millions except per share amounts (2024A-2028E)

	2024A	1Q25A	2Q25A	3Q25A	4Q25A	2025A	1Q26A	2Q26A	3Q26E	4Q26E	2026E	2027E	2028E
Advertising Revenue	160,632.0	41,392.0	46,563.0	50,082.0	58,137.0	196,174.0	55,024.0	59,363.0	61,923.5	71,062.4	247,372.9	296,847.5	348,795.8
Other revenue	1,722.0	510.0	583.0	690.0	801.0	2,584.0	885.0	1,007.0	1,159.2	1,337.7	4,388.9	10,401.6	19,503.0
Family of Apps Revenue	162,354.0	41,902.0	47,146.0	50,772.0	58,938.0	198,758.0	55,909.0	60,370.0	63,082.7	72,400.1	251,761.8	307,249.1	368,298.9
Reality Labs	2,146.0	412.0	370.0	470.0	955.0	2,207.0	402.0	431.0	535.8	1,069.6	2,438.4	2,877.3	3,337.7
Total Revenue	164,500.0	42,314.0	47,516.0	51,242.0	59,893.0	200,985.0	56,311.0	60,801.0	63,618.5	73,469.7	254,200.2	310,126.5	371,636.6
Cost of Sales	29,107.0	7,301.0	8,213.0	8,917.0	10,619.0	35,050.0	9,945.0	10,991.0	11,578.6	13,445.0	45,959.5	55,822.8	66,522.9
Gross Profit	135,393.0	35,013.0	39,303.0	42,325.0	49,274.0	165,915.0	46,366.0	49,810.0	52,039.9	60,024.7	208,240.7	254,303.7	305,113.6
Operating Expenses													
Research & Development	30,189.0	8,723.0	8,862.0	10,330.0	11,972.0	39,887.0	12,367.0	13,716.0	15,904.6	17,265.4	59,253.0	74,430.3	86,219.7
Marketing & sales	10,321.0	2,521.0	2,745.0	2,613.0	3,186.0	11,065.0	2,698.0	3,186.0	3,817.1	4,408.2	14,109.3	16,746.8	18,581.8
General & Administrative	8,813.0	2,067.0	2,421.0	3,292.0	3,480.0	11,260.0	2,397.0	2,895.0	3,594.6	4,211.0	13,097.6	16,400.5	17,008.7
Stock-based compensation	16,690.0	4,147.0	4,834.0	5,555.0	5,890.0	20,426.0	6,032.0	7,658.0	7,634.2	8,742.9	30,067.1	35,664.5	41,623.3
1x items	-	-	-	-	-	-	-	3,580.0	10,000.0	-	13,580.0	-	-
Total operating expenses	66,013.0	17,458.0	18,862.0	21,790.0	24,528.0	82,638.0	23,494.0	31,035.0	40,950.6	34,627.4	130,107.0	143,242.3	163,433.5
Operating Income	69,380.0	17,555.0	20,441.0	20,535.0	24,745.0	83,276.0	22,872.0	18,775.0	11,089.4	25,397.3	78,133.7	111,061.4	141,680.1
PF Operating Income	86,070.0	21,702.0	25,275.0	26,090.0	30,835.0	103,702.0	28,904.0	30,013.0	28,723.6	34,140.2	121,780.8	146,726.0	183,303.4
Interest and other income	1,284.0	827.0	93.0	1,128.0	609.0	2,657.0	-1,120.0	-19.0	-516.9	-521.2	-2,177.1	-220.5	-301.3
Income before taxes	70,664.0	18,382.0	20,534.0	21,663.0	25,354.0	85,933.0	21,752.0	18,756.0	10,572.4	24,876.2	75,956.6	110,841.0	141,378.8
Provision for income taxes	8,304.0	1,738.0	2,197.0	18,954.0	2,586.0	25,475.0	-5,021.0	2,908.0	1,691.6	3,980.2	3,558.8	13,855.1	17,672.4
Effective tax rate	11.8%	9.5%	10.7%	87.5%	10.2%	29.6%	-23.1%	15.5%	16.0%	16.0%	4.7%	12.5%	12.5%
Net Income	62,360.0	16,644.0	18,337.0	2,709.0	22,768.0	60,458.0	26,773.0	15,848.0	8,880.8	20,896.0	72,397.8	96,985.9	123,706.5
Net Income attributable to participating securities	-	-	-	-	-	-	-	-	-	-	-	-	-
GAAP Net Income attributable to common	62,360.0	16,644.0	18,337.0	2,709.0	22,768.0	60,458.0	26,773.0	15,848.0	8,880.8	20,896.0	72,397.8	96,985.9	123,706.5
Basic Income per share	\$24.61	\$6.59	\$7.28	\$1.08	\$9.02	\$23.98	\$10.57	\$6.23	\$3.49	\$8.21	\$28.49	\$37.98	\$48.20
Diluted Income per share	\$23.86	\$6.43	\$7.14	\$1.05	\$8.88	\$23.49	\$10.44	\$6.18	\$3.44	\$8.06	\$28.11	\$36.92	\$46.17
Basic shares outstanding (000s)	2,534	2,527	2,518	2,517	2,525	2,521	2,534	2,543	2,544	2,544	2,541	2,554	2,567
Diluted shares outstanding (000s)	2,614	2,590	2,570	2,572	2,565	2,574	2,564	2,566	2,579	2,592	2,575	2,627	2,679
Non-recurring Items													
Stock-based compensation	16,690.0	4,147.0	4,834.0	5,555.0	5,890.0	20,426.0	6,032.0	7,658.0	7,634.2	8,742.9	30,067.1	35,664.5	41,623.3
1x Items	-	-	-	15,930.0	-	15,930.0	(8,030.0)	3,580.0	10,000.0	-	5,550.0	-	-
Tax Effect	1,957.2	392.1	517.2	3,007.9	600.8	4,518.0	461.2	1,742.4	2,821.5	1,398.9	6,423.9	4,458.1	5,202.9
PF Net Income (loss)	77,092.8	20,398.9	22,653.8	21,186.1	28,057.2	92,296.0	24,313.8	25,343.6	23,693.6	28,240.0	101,591.0	128,192.3	160,126.9
PF EPS (ex-SBC/non-recurring items)	\$29.49	\$7.88	\$8.81	\$8.24	\$10.94	\$35.86	\$9.48	\$9.88	\$9.19	\$10.90	\$39.45	\$48.80	\$59.77
EBITDA Reconciliation													
Operating Income	69,380.0	17,555.0	20,441.0	20,535.0	24,745.0	83,276.0	22,872.0	18,775.0	11,089.4	25,397.3	78,133.7	111,061.4	141,680.1
Depreciation and amortization expense	15,498.0	3,900.0	4,342.0	4,963.0	5,411.0	18,616.0	5,999.0	6,356.0	8,348.3	9,104.1	29,807.4	47,221.6	59,762.2
Stock-based compensation	16,690.0	4,147.0	4,834.0	5,555.0	5,890.0	20,426.0	6,032.0	7,658.0	7,634.2	8,742.9	30,067.1	35,664.5	41,623.3
1x Items	-	-	-	-	-	-	-	3,580.0	10,000.0	-	13,580.0	-	-
EBITDA	101,568.0	25,602.0	29,617.0	31,053.0	36,046.0	122,318.0	34,903.0	36,369.0	37,071.9	43,244.3	151,588.2	193,947.6	243,065.6
Y/Y % Change													
Advertising Revenue	21.7%	16.2%	21.5%	25.6%	24.3%	22.1%	32.9%	27.5%	23.6%	22.2%	26.1%	20.0%	17.5%
Other revenue	62.9%	34.2%	49.9%	59.0%	54.3%	50.1%	73.5%	72.7%	68.0%	67.0%	69.8%	137.0%	87.5%
Family of Apps Revenue	21.9%	16.1%	21.6%	25.2%	23.8%	22.2%	33.1%	28.0%	24.2%	22.7%	26.5%	22.0%	18.8%
Reality Labs	13.2%	-6.4%	4.8%	74.1%	-11.8%	2.8%	-2.4%	16.5%	14.0%	12.0%	10.5%	18.0%	16.0%
Total Revenue	21.9%	16.1%	21.6%	25.2%	23.8%	22.2%	33.1%	28.0%	24.2%	22.7%	26.5%	22.0%	18.8%
Cost of Sales	15.2%	13.7%	17.0%	25.4%	24.1%	20.4%	36.2%	33.8%	29.8%	26.6%	31.1%	21.5%	19.2%
Gross Profit	23.5%	16.6%	22.6%	26.4%	23.7%	22.5%	32.4%	26.7%	23.0%	21.8%	25.5%	22.1%	20.0%
Research & Development	20.5%	23.4%	31.2%	34.3%	38.0%	32.1%	41.8%	54.8%	54.0%	44.2%	48.6%	25.6%	15.8%
Marketing & sales	-3.1%	7.8%	12.8%	2.0%	6.7%	7.2%	7.0%	16.1%	46.1%	38.4%	27.5%	18.7%	11.0%
G&A	-9.1%	-36.4%	-28.7%	102.3%	546.8%	27.8%	16.0%	19.6%	9.2%	21.0%	16.3%	25.2%	3.7%
GAAP Expenses	5.0%	7.6%	9.6%	35.1%	49.0%	25.2%	34.6%	64.5%	87.9%	41.2%	57.4%	10.1%	14.1%
PF Expenses	8.0%	5.2%	11.4%	36.7%	52.8%	26.1%	31.2%	41.1%	43.6%	38.9%	39.0%	24.4%	13.2%
Total Expense	12.3%	9.4%	11.8%	32.1%	40.5%	23.7%	35.1%	42.0%	38.5%	36.8%	38.1%	22.5%	15.5%
Operating Income	48.4%	27.0%	37.7%	18.4%	5.9%	20.0%	30.3%	-8.2%	-46.0%	2.6%	-6.2%	42.1%	27.6%
PF Operating Income	34.0%	24.9%	29.9%	20.8%	10.9%	20.5%	33.2%	18.7%	10.1%	11.4%	17.4%	20.5%	24.9%
GAAP Net Income	59.5%	34.6%	36.2%	-82.7%	9.3%	-3.1%	60.9%	-13.6%	227.8%	-8.2%	19.7%	34.0%	27.6%
GAAP EPS	60.4%	36.4%	38.3%	-82.5%	10.7%	-1.5%	62.5%	-13.4%	227.0%	-9.2%	19.7%	31.3%	25.1%
PF EPS	34.7%	23.4%	28.2%	21.2%	12.3%	20.4%	36.3%	22.8%	19.4%	20.0%	23.9%	27.9%	25.3%
EBITDA	34.7%	23.4%	28.2%	21.2%	12.3%	20.4%	36.3%	22.8%	19.4%	20.0%	23.9%	27.9%	25.3%
Sequential Change													
Total Revenue	-12.5%	12.3%	7.8%	16.9%	-	-	-6.0%	8.0%	4.6%	15.5%	-	-	-
% of Revenues													
Cost of Sales	17.7%	17.3%	17.3%	17.4%	17.7%	17.4%	17.7%	18.1%	18.2%	18.3%	18.1%	18.0%	17.9%
Research & Development	18.4%	20.6%	18.7%	20.2%	20.0%	19.8%	22.0%	22.6%	25.0%	23.5%	23.3%	24.0%	23.2%
Marketing & sales	6.3%	6.0%	5.8%	5.1%	5.3%	5.5%	4.8%	5.2%	6.0%	6.0%	5.6%	5.4%	5.0%
G&A	5.4%	4.9%	5.1%	6.4%	5.8%	5.6%	4.3%	4.8%	5.7%	5.7%	5.2%	5.3%	4.6%
Stock-based compensation	10.1%	9.8%	10.2%	10.8%	9.8%	10.2%	10.7%	12.6%	12.0%	11.9%	11.8%	11.5%	11.2%
Margins													
Gross Margin	82.3%	82.7%	82.7%	82.6%	82.3%	82.6%	82.3%	81.9%	81.8%	81.7%	81.9%	82.0%	82.1%
Operating Margin	42.2%	41.5%	43.0%	40.1%	41.3%	41.4%	40.6%	30.9%	17.4%	34.6%	30.7%	35.8%	38.1%
PF Operating Margin	52.3%	51.3%	53.2%	50.9%	51.1%	51.6%	51.3%	49.4%	45.1%	46.5%	47.9%	47.3%	49.3%
EBITDA Margin	61.7%	60.5%	62.3%	60.6%	60.2%	60.9%	62.0%	59.8%	58.3%	58.9%	59.6%	62.5%	65.4%
PF Operating Profit/Gross Profit	63.6%	62.0%	64.3%	61.6%	62.2%	62.5%	62.3%	60.3%	55.2%	56.9%	58.5%	57.7%	60.1%
Net income (loss) Margin	37.9%	39.3%	38.6%	5.3%	38.0%	30.1%	47.5%	26.1%	14.0%	28.4%	28.5%	31.3%	33.3%
Operating Leverage (Change in PF Op Inc./Change in Revs)	73.8%	73.8%	68.8%	42.1%	26.1%	48.4%	51.5%	35.7%	21.3%	25.8%	34.0%	44.6%	59.5%
Dividends Paid	5,071	1,329	1,327	1,330	1,338	5,324	1,346	1,363	1,335	1,336	5,370	5,397	5,424
Dividends Paid Per Share	2.00	0.53	0.53	0.53	0.53	2.11	0.53</						

Figure 15. META Revenue Analysis, \$ in millions (2024A-2028E)

	2024A	1Q25A	2Q25A	3Q25A	4Q25A	2025A	1Q26A	2Q26A	3Q26E	4Q26E	2026E	2027E	2028E
Advertising Revenue	160,632.0	41,392.0	46,563.0	50,082.0	58,137.0	196,174.0	55,024.0	59,363.0	61,923.5	71,062.4	247,372.9	296,847.5	348,795.8
Y/Y growth	21.7%	16.2%	21.5%	25.6%	24.3%	22.1%	32.9%	27.5%	23.6%	22.2%	26.1%	20.0%	17.5%
Q/Q growth		-11.5%	12.5%	7.6%	16.1%		-5.4%	7.9%	4.3%	14.8%			
Y/Y growth, ex-FX impact	22.4%	19.6%	21.7%	24.5%	23.3%	22.4%	28.7%	26.0%	24.5%	22.5%	25.2%	20.0%	17.5%
Other revenue	1,722.0	510.0	583.0	690.0	801.0	2,584.0	885.0	1,007.0	1,159.2	1,337.7	4,388.9	10,401.6	19,503.0
Y/Y growth	62.9%	34.2%	49.9%	59.0%	54.3%	50.1%	73.5%	72.7%	68.0%	67.0%	69.8%	137.0%	87.5%
Q/Q growth		-1.7%	14.3%	18.4%	16.1%		10.5%	13.8%	15.1%	15.4%			
Family of Apps Revenue	162,354.0	41,902.0	47,146.0	50,772.0	58,938.0	198,758.0	55,909.0	60,370.0	63,082.7	72,400.1	251,761.8	307,249.1	368,298.9
Y/Y growth	22.1%	16.3%	21.8%	25.9%	24.6%	22.4%	33.4%	28.0%	24.2%	22.8%	26.7%	22.0%	19.9%
Q/Q growth		-11.4%	12.5%	7.7%	16.1%		-5.1%	8.0%	4.5%	14.8%			
Reality Labs	2,146.0	412.0	370.0	470.0	955.0	2,207.0	402.0	431.0	535.8	1,099.6	2,438.4	2,877.3	3,337.7
Y/Y growth	13.2%	-6.4%	4.8%	74.1%	-11.8%	2.8%	-2.4%	16.5%	14.0%	12.0%	10.5%	18.0%	16.0%
Q/Q growth		-62.0%	-10.2%	27.0%	103.2%		-57.9%	7.2%	24.3%	99.6%			
Total Revenue	164,500.0	42,314.0	47,516.0	51,242.0	59,893.0	200,965.0	56,311.0	60,801.0	63,618.5	73,499.7	254,200.2	310,126.5	371,636.6
Y/Y growth	21.9%	16.1%	21.6%	26.2%	23.8%	22.2%	33.1%	28.0%	24.2%	22.7%	26.5%	22.0%	19.8%
Q/Q growth		-12.5%	12.3%	7.8%	16.9%		-6.0%	8.0%	4.6%	15.5%			
Y/Y growth, ex-FX impact	22.6%	19.5%	21.8%	25.2%	22.8%	22.4%	28.9%	26.5%	25.0%	22.9%	25.6%	22.0%	19.8%
ADVERTISING BREAKDOWN: FB / IG													
	2024A	1Q25A	2Q25A	3Q25A	4Q25A	2025A	1Q26A	2Q26A	3Q26E	4Q26E	2026E	2027E	2028E
Total Advertising Revenue	160,632.0	41,392.0	46,563.0	50,082.0	58,137.0	196,174.0	55,024.0	59,363.0	61,923.5	71,062.4	247,372.9	296,847.5	348,795.8
Y/Y growth	21.7%	16.2%	21.5%	25.6%	24.3%	22.1%	32.9%	27.5%	23.6%	22.2%	26.1%	20.0%	17.5%
Q/Q growth		-11.5%	12.5%	7.6%	16.1%		-5.4%	7.9%	4.3%	14.8%			
facebook	101,414	25,249	28,171	29,548	33,719	116,688	31,364	33,837	34,987	39,440	139,627	163,266	186,606
Y/Y growth	15.2%	9.9%	14.8%	17.6%	17.2%	15.1%	24.2%	20.1%	18.4%	17.0%	19.7%	16.9%	14.3%
Q/Q growth		-12.2%	11.6%	4.9%	14.1%		-7.0%	7.9%	3.4%	12.7%			
Core FB revs and a % of total ad revs	63.1%	61.0%	60.5%	59.0%	58.0%	59.5%	57.0%	57.0%	56.5%	55.5%	56.4%	55.0%	53.5%
Instagram	59,218	16,143	18,392	20,534	24,418	79,486	23,660	25,526	26,937	31,623	107,746	133,581	162,190
Y/Y growth	34.9%	27.6%	33.3%	39.1%	35.6%	34.2%	46.6%	38.8%	31.2%	29.5%	35.6%	24.0%	21.4%
Q/Q growth		-10.4%	13.9%	11.6%	18.9%		-3.1%	7.9%	5.5%	17.4%			
Instagram revs as a % of total ad revs	36.9%	39.0%	39.5%	41.0%	42.0%	40.5%	43.0%	43.0%	43.5%	44.5%	43.6%	45.0%	46.5%
Y/Y Ad impression growth	11%	5%	11%	14%	18%	12%	19%	14%					
Y/Y Ad pricing growth	10%	10%	9%	10%	6%	9%	12%	12%					
FB MAP & DAP ANALYSIS													
	2024A	1Q25A	2Q25A	3Q25A	4Q25A	2025A	1Q26A	2Q26A	3Q26E	4Q26E	2026E	2027E	2028E
Facebook Family of Apps DAP & MAP (FB, IG, WA, & Mess)													
FB Family Monthly Active People (MAP)	4.1875	4.29	4.35	4.43	4.48	4.48	4.45	4.50	4.57	4.61	4.61	4.74	4.86
Y/Y growth	5.2%	5.9%	6.4%	7.6%	6.9%	6.9%	3.8%	3.4%	3.2%	3.0%	3.0%	2.8%	2.6%
Q/Q growth		2.4%	1.5%	1.7%	1.1%		-0.6%	1.1%	1.5%	0.9%			
FB Family Daily Active People (DAP)	3.35	3.43	3.48	3.54	3.58	3.58	3.56	3.60	3.65	3.69	3.69	3.79	3.89
Y/Y growth	5.0%	5.9%	6.4%	7.6%	6.9%	6.9%	3.8%	3.4%	3.2%	3.0%	3.0%	2.8%	2.6%
Q/Q growth		2.4%	1.5%	1.7%	1.1%		-0.6%	1.1%	1.5%	0.9%			
Total User Engagement (DAP / MAP)	80.0%	80.0%	80.0%	80.0%	80.0%	80.0%	80.0%	80.0%	80.0%	80.0%	80.0%	80.0%	80.0%
Family Average Revenue per Person (ARPP) - MAP	\$40.24	\$9.99	\$11.00	\$11.88	\$13.46	\$46.13	\$12.82	\$13.59	\$14.03	\$16.01	\$56.25	\$66.35	\$77.43
Y/Y growth	15.9%	10.0%	14.6%	18.0%	15.4%	14.6%	26.4%	23.5%	20.2%	19.0%	22.0%	18.0%	16.7%
Q/Q growth		14.4%	10.2%	6.2%	15.2%		-6.2%	7.7%	3.3%	14.1%			
Family Average Revenue per Person (ARPP) - DAU	\$50.29	\$12.48	\$13.75	\$14.60	\$16.82	\$57.66	\$16.77	\$16.98	\$17.54	\$20.02	\$70.32	\$82.94	\$96.78
Y/Y growth	14.9%	10.1%	14.6%	18.0%	15.4%	14.6%	26.4%	23.5%	20.2%	19.0%	22.0%	18.0%	16.7%
Q/Q growth		-14.4%	10.2%	6.2%	15.2%		-6.2%	7.7%	3.3%	14.1%			
SEGMENT ANALYSIS - REVENUE & OPERATING INCOME													
	2024A	1Q25A	2Q25A	3Q25A	4Q25A	2025A	1Q26A	2Q26A	3Q26E	4Q26E	2026E	2027E	2028E
Family of Apps Revenue	162,354.0	41,902.0	47,146.0	50,772.0	58,938.0	198,758.0	55,909.0	60,370.0	63,082.7	72,400.1	251,761.8	307,249.1	368,298.9
Y/Y growth	22.1%	16.3%	21.8%	25.9%	24.6%	22.4%	33.4%	28.0%	24.2%	22.8%	26.7%	22.0%	19.9%
Q/Q growth		-11.4%	12.5%	7.7%	16.1%		-5.1%	8.0%	4.5%	14.8%			
Family of Apps Expenses	75,245.0	20,137.0	22,175.0	25,805.0	28,172.0	96,289.0	29,009.0	36,976.0	46,903.3	40,906.1	153,794.3	178,204.5	209,930.4
Y/Y growth	7.3%	9.7%	14.4%	39.2%	48.5%	28.0%	44.1%	66.7%	81.8%	45.2%	59.7%	15.9%	17.8%
Q/Q growth		6.2%	10.1%	16.4%	9.2%		3.0%	27.5%	26.8%	-12.8%			
Family of Apps Operating Income	87,109.0	21,768.0	24,971.0	24,967.0	30,766.0	102,469.0	26,900.0	23,394.0	16,179.5	31,494.0	97,967.5	129,044.6	158,368.5
Y/Y growth	38.6%	23.2%	29.1%	14.6%	8.6%	17.6%	23.6%	-6.3%	-35.2%	2.4%	-4.4%	31.7%	22.7%
Q/Q growth		-23.2%	14.7%	0.0%	23.2%		-12.6%	-13.0%	-30.8%	94.7%			
FoA Operating Margin	53.7%	51.9%	53.0%	49.2%	52.2%	51.6%	48.1%	38.8%	25.6%	43.5%	38.9%	42.0%	43.0%
Y/Y bps change	638bps	290bps	303bps	(484bps)	(770bps)	(210bps)	(383bps)	(1,421bps)	(2,353bps)	(870bps)	(1,264bps)	309bps	100bps
FoA Operating Leverage (Change in OI/Change in Revenue)	82.6%	69.7%	66.9%	30.5%	20.9%	42.2%	36.7%	-11.9%	-71.4%	5.4%	-8.5%	56.0%	48.0%
Reality Labs Revenue	2,146.0	412.0	370.0	470.0	955.0	2,207.0	402.0	431.0	535.8	1,099.6	2,438.4	2,877.3	3,337.7
Y/Y growth	13.2%	-6.4%	4.8%	74.1%	-11.8%	2.8%	-2.4%	16.5%	14.0%	12.0%	10.5%	18.0%	16.0%
Q/Q growth		-62.0%	-10.2%	27.0%	103.2%		-57.9%	7.2%	24.3%	99.6%			
Reality Labs Expenses	19,875.0	4,622.0	4,900.0	4,902.0	6,976.0	21,400.0	4,430.0	5,050.0	5,625.9	7,166.3	22,272.2	20,860.5	20,026.1
Y/Y growth	10.3%	7.8%	1.2%	4.3%	15.3%	7.7%	-4.2%	3.1%	14.8%	2.7%	4.1%	-6.3%	-4.0%
Q/Q growth		-23.6%	6.0%	0.0%	42.3%		-36.5%	14.0%	11.4%	27.4%			
Reality Labs Operating Income / Loss	(17,729.0)	(4,210.0)	(4,530.0)	(4,432.0)	(6,021.0)	(19,193.0)	(4,028.0)	(4,619.0)	(5,090.1)	(6,069.7)	(19,833.8)	(17,983.2)	(16,688.4)
Y/Y growth	10.0%	9.5%	0.9%	0.1%	21.2%	8.3%	-4.3%	2.0%	14.8%	1.3%	3.3%	-9.3%	-7.2%
Q/Q growth		-15.2%	7.6%	-2.2%	35.9%		-33.1%	14.7%	10.2%	19.8%			
RL Operating Margin	-826.1%	-1021.8%	-1224.3%	-943.0%	-630.5%	-869.6%	-1002.0%	-1071.7%	-950.0%	-570.0%	-813.4%	-625.0%	-500.0%
Meta Total Revenue	164,500	42,314	47,516	51,242	59,893	200,965	56,311	60,801	63,619	73,470	254,200	310,126	371,637
Y/Y growth	21.9%	16.1%	21.6%	26.2%	23.8%	22.2%	33.1%	28.0%	24.2%	22.7%	26.5%	22.0%	19.8%
Q/Q growth		-12.5%	12.3%	7.8%	16.9%		-6.0%	8.0%	4.6%	15.5%			
Total Expenses	95,120	24,759	27,075	30,707	35,148	117,689	33,439	42,026	52,529	48,072	176,067	199,065	229,956
Y/Y growth	7.9%	9.4%	11.8%	32.1%	40.5%	23.7%	35.1%	55.2%	71.1%	36.8%	49.6%	13.1%	15.5%
Q/Q growth		-1.0%	9.4%	13.4%	14.5%		-4.9%	25.7%	25.0%	-8.5%			
Meta Operating Income	69,380	17,555	20,441	20,535	24,745	83,276	22,872	18,775	11,089	25,397	78,134	111,061	141,680
Y/Y growth	48.4%	27.0%	37.7%	18.4%	5.9%	20.0%	30.3%	-8.2%	-46.0%	2.6%	-6.2%	42.1%	27.6%
Q/Q growth		-24.9%	16.4%	0.5%	20.5%		-7.6%	-17.9%	-40.9%	129.0%			
Operating Margin	42.2%	41.5%	43.0%	40.1%	41.3%	41.4%	40.6%	30.9%	17.4%	34.6%	30.7%	35.8%	38.1%
Y/Y bps change	752bps	358bps	502bps	(267bps)	(697bps)	(74bps)	(87bps)	(1,214bps)	(2,264bps)	(675bps)	(1,070bps)	507bps	231bps
Operating Leverage (Change in OI/Change in Revenue)	76.5%	63.8%	66.2%	29.9%	12.0%	38.1%	38.0%	-12.5%	-76.3%	4.8%	-9.7%	58.9%	49.8%
META REVENUE SPLIT													
Family of Apps	98.7%	99.0%											

Figure 16. META Revenue Analysis, \$ in millions (2024A-2028E)

TOTAL META REVENUE BY USER GEOGRAPHY													
	2024A	1Q25A	2Q25A	3Q25A	4Q25A	2025A	1Q26A	2Q26A	3Q26E	4Q26E	2026E	2027E	2028E
Total Revenue - WW	164,500.0	42,314.0	47,516.0	51,242.0	59,893.0	200,965.0	56,311.0	60,801.0	63,618.5	73,469.7	254,200.2	310,126.5	371,636.6
Y/Y growth	21.9%	16.1%	21.6%	26.2%	23.8%	22.2%	33.1%	28.0%	24.2%	22.7%	26.5%	22.0%	19.8%
Q/Q growth		-12.5%	12.3%	7.8%	16.9%		-6.0%	8.0%	4.6%	15.5%			
Total revenue - US & Canada	72,063.0	18,605.0	20,371.0	21,751.0	26,472.0	87,199.0	24,079.0	26,816.0	27,992.1	32,694.0	111,581.2	137,231.0	164,449.2
Y/Y growth	17.7%	17.6%	20.9%	23.5%	21.5%	21.0%	29.4%	31.6%	28.7%	23.5%	28.0%	23.0%	19.8%
Q/Q growth		-14.6%	9.5%	6.8%	21.7%		-9.0%	11.4%	4.4%	16.8%			
Total Revenue Europe	38,778.0	9,680.0	11,532.0	12,268.0	14,480.0	47,960.0	13,500.0	14,296.0	14,632.3	17,045.0	59,473.2	69,778.5	80,831.0
Y/Y growth	25.6%	14.1%	24.0%	29.2%	25.9%	23.7%	39.5%	24.0%	19.3%	17.7%	24.0%	17.3%	15.8%
Q/Q growth		15.8%	19.1%	6.4%	18.0%		-6.8%	5.9%	2.4%	16.5%			
Total Revenue - Asia (China)	18,350.0	4,599.3	5,010.8	5,392.8	5,646.9	20,649.8	5,457.0	5,526.2	5,880.5	6,485.2	23,328.9	26,819.7	31,284.4
Y/Y growth	34.0%	6.9%	12.4%	18.2%	12.3%	12.5%	18.6%	10.3%	8.7%	14.8%	13.0%	15.0%	16.6%
Q/Q growth		-8.6%	8.9%	7.6%	4.7%		-3.4%	1.3%	6.1%	10.7%			
% of Asia Revenue	55.9%	54.5%	53.5%	52.5%	50.5%	52.6%	50.0%	49.5%	49.0%	48.5%	49.2%	47.0%	46.0%
Total Revenue - Asia (ex-China)	14,484.0	3,699.7	4,355.2	4,879.2	5,535.1	18,609.2	5,457.0	5,637.8	6,099.7	6,886.3	24,080.9	30,243.5	36,725.1
Y/Y growth	9.5%	20.8%	26.9%	33.4%	31.3%	28.5%	42.1%	29.5%	25.0%	24.4%	29.4%	25.6%	21.4%
Q/Q growth		-8.9%	13.4%	12.0%	13.4%		-1.4%	3.3%	8.2%	12.9%			
% of Asia Revenue	44.1%	45.5%	46.5%	47.5%	49.5%	47.4%	50.0%	50.5%	51.0%	51.5%	50.8%	53.0%	54.0%
Total Revenue - Asia	32,834.0	8,439.0	9,386.0	10,272.0	11,182.0	39,259.0	10,914.0	11,164.0	11,960.3	13,371.5	47,409.8	57,063.3	68,009.5
Y/Y growth	22.0%	12.8%	18.7%	25.0%	21.0%	19.6%	29.3%	19.2%	16.4%	19.6%	20.8%	20.4%	19.2%
Q/Q growth		-8.7%	11.0%	9.7%	8.9%		-2.4%	2.3%	7.1%	11.8%			
Total Revenue - ROW	20,825.0	5,590.0	6,247.0	6,951.0	7,759.0	26,547.0	7,818.0	8,525.0	9,033.8	10,359.2	35,736.1	46,053.8	58,346.9
Y/Y growth	31.3%	19.8%	24.0%	31.9%	32.5%	27.5%	39.9%	36.5%	30.0%	33.5%	34.6%	28.9%	26.7%
Q/Q growth		-4.5%	11.8%	11.3%	11.6%		0.8%	9.0%	6.0%	14.7%			
% OF TOTAL REVENUE BY REGION													
US & Canada	43.8%	44.0%	42.9%	42.4%	44.2%	43.4%	42.8%	44.1%	44.0%	44.5%	43.9%	44.3%	44.3%
Europe	23.6%	22.9%	24.3%	23.9%	24.2%	23.9%	24.0%	23.5%	23.0%	23.2%	23.4%	22.5%	21.8%
China	11.2%	10.9%	10.5%	10.5%	9.4%	10.3%	9.7%	9.1%	9.2%	8.8%	9.2%	8.6%	8.4%
Asia (ex-China)	8.8%	9.1%	9.2%	9.5%	9.2%	9.3%	9.7%	9.3%	9.6%	9.4%	9.5%	9.8%	9.9%
Asia	20.0%	19.9%	19.7%	20.0%	18.7%	19.5%	19.4%	18.4%	18.8%	18.2%	18.7%	18.4%	18.3%
ROW	12.7%	13.2%	13.1%	13.6%	13.0%	13.2%	13.9%	14.0%	14.2%	14.1%	14.1%	14.9%	15.7%
Total	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%
ADVERTISING REVENUE BY USER GEOGRAPHY													
	2024A	1Q25A	2Q25A	3Q25A	4Q25A	2025A	1Q26A	2Q26A	3Q26E	4Q26E	2026E	2027E	2028E
Advertising Revenue - WW	160,632.0	41,392.0	46,563.0	50,082.0	58,137.0	196,174.0	55,024.0	59,363.0	61,923.5	71,062.4	247,372.9	296,847.5	348,795.8
Y/Y growth	21.7%	16.2%	21.5%	25.6%	24.3%	22.1%	32.9%	27.5%	23.6%	22.2%	26.1%	20.0%	17.5%
Q/Q growth		-11.5%	12.5%	7.6%	16.1%		-5.4%	7.9%	4.3%	14.8%			
Impression growth	11%	5%	11%	14%	18%		19%	14%					
Pricing growth	10%	10%	9%	10%	6%		12%	12%					
Ad revenue - US & Canada	70,415.0	18,259.0	20,045.0	21,331.0	25,643.0	85,278.0	23,667.0	26,337.0	27,741.7	31,764.9	109,510.6	130,612.9	151,726.2
Y/Y growth	18.2%	18.2%	20.8%	22.7%	22.2%	21.1%	29.6%	31.4%	30.1%	23.9%	28.4%	19.3%	16.2%
Q/Q growth		-13.0%	9.8%	6.4%	20.2%		-7.7%	11.3%	5.3%	14.5%			
Impression growth	9%	4%	9%	8%	13%		13%	9%					
Pricing growth	9%	14%	11%	13%	9%		14%	20%					
Ad Revenue Europe	37,974.0	9,527.0	11,366.0	12,072.0	14,198.0	47,163.0	13,296.0	14,085.0	14,799.7	17,055.0	59,235.7	71,837.1	85,106.2
Y/Y growth	24.8%	14.4%	24.4%	29.0%	27.3%	24.2%	39.6%	23.9%	22.6%	20.1%	25.6%	21.3%	18.5%
Q/Q growth		-14.6%	19.3%	6.2%	17.6%		-6.4%	5.9%	5.1%	15.2%			
Impression growth	7%	5%	6%	9%	13%		17%	13%					
Pricing growth	17%	9%	17%	19%	12%		19%	10%					
Ad Revenue - Asia	32,121.0	8,224.0	9,148.0	10,020.0	10,893.0	38,285.0	10,631.0	10,847.0	11,517.8	13,146.5	46,142.3	54,916.8	64,178.4
Y/Y growth	21.3%	12.1%	18.5%	24.5%	20.9%	19.2%	29.3%	18.6%	14.9%	20.7%	20.5%	19.0%	16.9%
Q/Q growth		-8.7%	11.2%	9.5%	8.7%		-2.4%	2.0%	6.2%	14.1%			
Impression growth	16%	9%	16%	23%	24%		23%	17%					
Pricing growth	5%	3%	2%	1%	(2%)		5%	1%					
Ad Revenue - ROW	20,122.0	5,382.0	6,004.0	6,659.0	7,403.0	25,448.0	7,430.0	8,094.0	7,864.3	9,086.0	32,484.3	39,480.7	47,785.0
Y/Y growth	30.0%	19.1%	23.0%	30.9%	31.4%	26.5%	38.1%	34.8%	18.1%	22.9%	27.6%	21.5%	21.0%
Q/Q growth		-4.5%	11.6%	10.9%	11.2%		0.4%	8.9%	-2.8%	15.7%			
Impression growth	8%	1%	7%	9%	14%		17%	12%					
Pricing growth	21%	17%	15%	20%	15%		18%	21%					
% OF TOTAL ADVERTISING REVENUE BY REGION													
US & Canada	43.8%	44.1%	43.0%	42.6%	44.1%	43.5%	43.0%	44.4%	44.8%	44.7%	44.3%	44.0%	43.5%
Europe	23.6%	23.0%	24.4%	24.1%	24.4%	24.0%	24.2%	23.7%	23.9%	24.0%	23.9%	24.2%	24.4%
Asia	20.0%	19.9%	19.6%	20.0%	18.7%	19.5%	19.3%	18.3%	18.6%	18.5%	18.7%	18.5%	18.4%
ROW	12.5%	13.0%	12.9%	13.3%	12.7%	13.0%	13.5%	13.6%	12.7%	12.8%	13.1%	13.3%	13.7%
Total	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%
FX Revenue Analysis													
	2024A	1Q25A	2Q25A	3Q25A	4Q25A	2025A	1Q26A	2Q26A	3Q26E	4Q26E	2026E	2027E	2028E
GAAP revenue	164,500	42,314	47,516	51,242	59,893	200,965	56,311	60,801	63,619	73,470	254,200	310,126	371,637
FX effect using prior year rates	874	1,237	82	(412)	(488)	419	(1,749)	(685)	429	155	(1,850)		
Revenue excluding foreign exchange effect	165,374	43,551	47,598	50,830	59,405	201,384	54,562	60,116	64,047	73,625	252,350	310,126	371,637
GAAP revenue year-over-year change %	21.9%	16.1%	21.6%	26.2%	23.8%	22.2%	33.1%	28.0%	24.2%	22.7%	26.5%	22.0%	19.8%
Revenue excluding foreign exchange effect year-over-year change %	22.6%	19.5%	21.8%	25.2%	22.8%	22.4%	28.9%	26.5%	25.0%	22.9%	25.6%	22.0%	19.8%
GAAP advertising revenue	160,632	41,392	46,563	50,082	58,137	196,174	55,024	59,363	61,924	71,062	247,373	296,848	348,796
FX effect using prior year rates	881	1,224	80	(409)	(473)	422	(1,734)	(693)	429	155	(1,843)		
Advertising revenue excluding foreign exchange effect	161,513	42,616	46,643	49,673	57,664	196,596	53,290	58,670	62,352	71,218	245,530	296,848	348,796
GAAP advertising revenue year-over-year change %	21.7%	16.2%	21.5%	25.6%	24.3%	22.1%	32.9%	27.5%	23.6%	22.2%	26.1%	20.0%	17.5%
Advertising revenue excluding foreign exchange effect year-over-year change %	22.4%	19.6%	21.7%	24.5%	23.3%	22.4%	28.7%	26.0%	24.5%	22.5%	25.2%	20.0%	17.5%
Headcount Analysis													
	2024A	1Q25A	2Q25A	3Q25A	4Q25A	2025A	1Q26A	2Q26A	3Q26E	4Q26E	2026E	2027E	2028E
Sequential change in headcount	6,750	2,767	(889)	2,505	415	4,798	(879)	(2,514)	(6,263)	892	(8,763)	4,382	4,163
Y/Y growth	N/A	37.5%	-160.5%	56.1%	-75.0%	-28.9%	-131.8%	182.8%	-350.0%	115.0%	-282.6%	-150.0%	-5.0%
Full Time Headcount	74,067	76,834	75,945	78,450	78,865	78,865	77,986	75,472	69,210	70,102	70,102	74,483	78,646
Y/Y growth	10.0%	10.8%	7.3%	8.4%	6.5%	6.5%	1.5%	-0.6%	-11.8%	-11.1%	-11.1%	6.3%	5.6%
Q/Q growth		3.7%	-1.2%	3.3%	0.5%		-1.1%	-3.2%	-8.3%	1.3%			
TTM Net Revenue / Average Full Time Employee	\$2,327	\$2,258	\$2,341	\$2,454	\$2,555	\$2,628	\$2,741	\$2,975	\$3,326	\$5,726	\$3,413	\$4,290	\$4,854
Y/Y growth	32.6%	8.1%	9.5%	12.5%	13.7%	12.9%	21.4%	27.1%	35.5%	124.1%	29.9%	25.7%	13.1%
TTM EBITDA / Average Full Time Employee	\$1	\$1,410	\$1,478	\$1,533	\$1,555	\$1,600	\$1,678	\$1,803	\$1,996	\$3,431	\$2,035	\$2,683	\$3,176
Y/Y growth	46.5%	17.2%	17.1%	17.3%	12.1%	11.3%	19.0%	22.0%	30.5%	120.6%	27.2%	31.8%	18.3%
TTM Cash Opex / Average Full Time Employee	\$0.698	\$0.662	\$0.673	\$0.722	\$0.791								

Meta Platforms Inc

Company description

Meta Platforms, Inc. is a multinational social media and networking application development company. Through various tools, Meta allows users to connect, share, discover, and communicate with one another over computers and mobile devices. Meta also provides developers with tools to build websites and applications.

Investment strategy

We rate Meta Platforms Buy. We view that Reels can effectively compete with other short-form video platforms and that monetization is improving, which we think should continue to see benefits.

Valuation

Our target price of \$800 is based on ~22x our 2027E GAAP EPS of \$36.92 and implies ~11x our 2027E EV/EBITDA. We justify our valuation methodology based on Meta's user scale, growing engagement, product super cycle and AI opportunity, ads innovation, and revenue growth, and we're watching investments and overall profitability.

Risks

Risks to our target price include: 1) Impacts from changes to ATT and IDFA could prove more difficult to overcome and structurally impact Meta's advertising business; 2) Online advertising spend could decelerate faster than we anticipate; 3) Competition could prove to be more impactful than we anticipate; 4) Meta may not be able to achieve meaningful contributions from its investments in non-advertising businesses (metaverse). 5) Adverse economic and/or consumer spending trends could hinder advertising spend; and 6) Regulatory pressures on anti-trust, data, and privacy practices could adversely impact on performance.

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Appendix A-1

ANALYST CERTIFICATION

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IMPORTANT DISCLOSURES

Meta Platforms Inc (META)

Ratings and Target Price History
Fundamental Research

Analyst: Ronald Josey



	Date	Rating	Target Price	Closing Price
1	26-Oct-23 08:11:57	1	*425.00	288.35
2	23-Jan-24 02:45:39	1	*440.00	385.20
3	02-Feb-24 03:01:34	1	*525.00	474.99
4	15-Apr-24 05:10:29	1	*590.00	500.23
5	25-Apr-24 02:02:10	1	*550.00	441.38
6	01-Aug-24 01:59:16	1	*580.00	497.74

*Indicates Change

	Date	Rating	Target Price	Closing Price
7	22-Sep-24 22:45:33	1	*645.00	561.35
8	31-Oct-24 03:11:30	1	*705.00	567.58
9	20-Dec-24 11:14:23	1	*753.00	585.25
10	30-Jan-25 04:17:24	1	*780.00	687.00
11	14-Apr-25 07:12:39	1	*655.00	531.48
12	01-May-25 04:55:37	1	*690.00	572.21

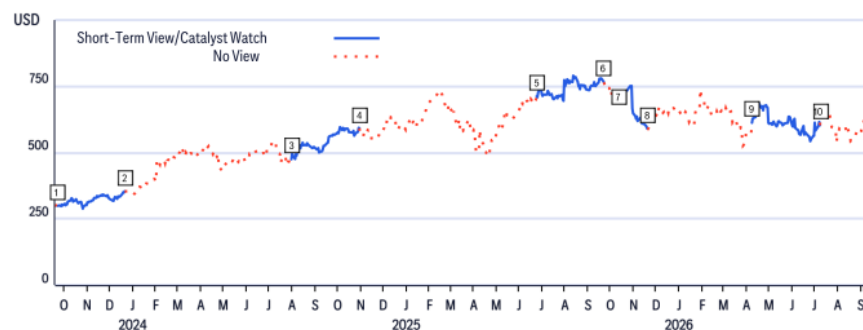
	Date	Rating	Target Price	Closing Price
13	24-Jun-25 05:00:48	1	*803.00	712.20
14	31-Jul-25 03:49:12	1	*915.00	773.44
15	30-Oct-25 03:09:34	1	*850.00	666.47
16	30-Jul-26 01:47:46	1	*800.00	539.03

Rating/target price changes above reflect Eastern Time

Meta Platforms Inc (META)

Short-Term View/Catalyst Watch Research

Analyst: Ronald Josey



	Date	Action	Expected Direction	Duration	Closing Price
1	22-Sep-23 02:23:52	Add CW	Upside	90 Days	299.08
2	21-Dec-23 11:02:07	Remove CW	Upside	90 Days	354.09
3	31-Jul-24 21:59:16	Add STV	Upside	90 Days	474.83
4	30-Oct-24 12:28:10	Remove STV	Upside	90 Days	591.80

CW - Catalyst Watch, STV - Short-Term View

	Date	Action	Expected Direction	Duration	Closing Price
5	24-Jun-25 01:00:48	Add STV	Upside	90 Days	712.20
6	22-Sep-25 12:18:07	Remove STV	Upside	90 Days	765.16
7	13-Oct-25 02:33:00	Add CW	Upside	90 Days	715.70
8	19-Nov-25 15:09:40	Remove CW	Upside	90 Days	590.32

	Date	Action	Expected Direction	Duration	Closing Price
9	08-Apr-26 22:47:48	Add STV	Upside	90 Days	612.42
10	08-Jul-26 12:21:18	Remove STV	Upside	90 Days	603.12
11	16-Sep-26 03:30:20	Add CW	Upside	90 Days	673.31

Rating/target price changes above reflect Eastern Time

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Data current as of 01 Jul 2026	12 Month Rating			Catalyst Watch		
	Buy	Hold	Sell	Buy	Hold	Sell
Citi Research Global Fundamental Coverage (Neutral=Hold)	61%	32%	7%	36%	48%	16%
% of companies in each rating category that are investment banking clients	38%	42%	27%	42%	37%	36%

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